For institutionalization of the Movement, a significant step was taken towards maintaining the Standing Committee in the form of a 15-member Co-ordinating Bureau which was to prepare for the Fifth Summit Conference and other non-aligned gatherings and also to coordinate the non-aligned activities, particularly at the UN and the G-77, and to assist in the implementation of the Action Programme for Economic Cooperation.

The oil embargo of the Arab countries against the Western supporters of Israel had increased the price of oil by the OPEC and placed many non-aligned countries in serious hardship and sort of created a discontent against the Arab countries which took a long time to heal.

Fifth NAM Summit, Colombo (Sri Lanka), 16–19 August 1976

One of the first Summits to be held in Asia was in Colombo, Sri Lanka. The new Head of the Movement was Mrs. Bandarnaike, Prime Minister of Sri Lanka. It was attended by 86 states—increase of 11 states from the last Summit—which was attended by 75 states. A number of observer states and guest states were present as well. The number of heads of liberation movements attending the Summit got significantly reduced from 15 at Algiers to five at Colombo due to the success of the national liberation movements in gaining independence. The Portuguese empire had crumbled and five new African states joined the movement.

The Conference identified specific problems relating to Middle-East, Cyprus, Southern Africa and Korea. Other concerns were the militarization of Diego Garcia and unabated arms race, despite the atmosphere of détente between the two major powers. But Southern Africa was really an important region of concern for it was the one region which still remained under colonial domination. Particularly, independence for Zimbabwe and Namibia and majority rule for South Africa were the disturbing factors, and the NAM countries condemned the Western power's collaboration with South Africa. The NAM states, thus, reaffirmed their faith and support for national sovereignty and the right of self-determination, especially for the struggles in southern Africa. The NAM countries were extremely critical about the use of veto by the five permanent members in the